

Power Backup

INVERTERS EYEING RURAL HOMES

About 75-80 per cent of the rural India is untouched, offering a huge opportunity for sales of economical and user-friendly inverters and UPS



■ UMA GUPTA

Given the frequent and long hours of power cuts, inverters are a necessity in India.

According to Frost and Sullivan, the Indian power inverter market was worth about Rs 20-22 billion in 2010-11, in terms of revenue. The market is projected to grow at a double-digit rate during the next three to four years. This is likely to be the result of a steady demand from the domestic, small-office home-office, small and medium enterprises (SMEs), commercial, industrial and other sectors.

The power backup market has also witnessed the entry of many branded suppliers of UPS—a similar product category.

Some prominent inverter/UPS manufacturers in India catering to different sectors are APC by Schneider Electric, Aplab, Uniline, Emerson, Microtek, Genus Power, Su-Kam Power Systems, upsINVERTER.com, Numeric, PEP Infotech, Best Power Equipment (BPE), Luminous, DB Power Electronics, Delta Power Solutions, Kevin Power Solutions, Convergence Power Systems and Ekta Telecommunication & Systems.

Inverters for homes

The demand for power inverters is expected to be robust from the rural and semi-urban areas due to power cuts and load shedding.

"Inverters have reached every part of the country but not every household

as yet, as 70 per cent population of our country lives in villages. Now almost all villages have electricity but the supply is highly erratic. Hence for regular and extended supply of electricity, rural population is going in for inverters in their homes. Hence the demand is still huge and shifting from urban areas to rural areas," says Sanjeev Garg, executive director, PEP Infotech.

Further, as electricity becomes properly available in all villages, rural population will become habitual of electronic appliances. So even during short power cuts, inverters will be demanded by individuals, which will increase the demand further.

"Emergence of new players in the industry itself is an indication that there is much more requirement to fulfil. Untapped markets like rural and semi-urban areas have a big potential in the next couple of years. Also, urban areas still have good potential as the demand versus supply gap for electricity will increase in the coming years. Considering power shortage in India and limited quality players, it will be at least 2020-25 by when one can even start thinking of saturation," says Kunwer Sachdev, founder and managing director, Su-Kam Power Systems.

Amongst other demand drivers, "there is a huge demand, and also a surge, because of the replacement market, where an older UPS can be replaced with the manufacturer's buyback plan," informs Amitansu Satpathy, director-marketing, BPE India.

However, there are some factors responsible for fluctuation in demand. "The demand is decreasing due to bet-